Brazil, India, United States, Israel, Iran, Oil, Sustainability, and Daily Brief: Lula still likely to lose Brazil runoff as gains stall

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【メール原文】

President Luiz Inacio Lula da Silva’s campaign gains have leveled off, meaning he will struggle to close the gap with Senator Flavio Bolsonaro before ||||||||||||||||

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Lula still likely to lose Brazil runoff as gains stall

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summary

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President Luiz Inacio Lula da Silva’s campaign gains have leveled off, meaning he will struggle to close the gap with Senator Flavio Bolsonaro before the vote this Sunday; if Lula does win, the fiscal outlook for a potential 4th Lula administration has significantly worsened.
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The US-Iran war has removed more than 2.5 billion barrels from the market, but four buffers—demand compression, inventory drawdowns, higher non-Gulf supply, and a starting surplus—have limited the price impact.
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After a week in India, Chairman Emeritus Cliff Kupchan reports that New Delhi is focusing its foreign policy on the US and, to the extent it is hedging, on select middle powers in the Global North.
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Israeli Prime Minister Benjamin Netanyahu’s reported plans to resume the war with Iran do not raise the odds of escalation before the US midterms, and EG still expects the conflict to escalate after the elections (65% odds).
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, India, Iran, Israel, Mexico, geoeconomics, oil, and sustainability.

the top line

Brazil—Lula’s late gains likely to fall short of a win

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Lula's late campaign gains have leveled off after Flavio Bolsonaro's campaign reacted, leaving a 2–3 point deficit he will struggle to close in the three days left before the vote.
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Lula's best path to victory (30% odds, now under revision) runs through a very strong debate performance, reducing abstention among left-leaning voters, and a sharper negative campaign against Bolsonaro.

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Bolsonaro will likely win the runoff, and EG's 70% estimate may prove conservative as the broader polling trend still favors him.

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Currency options suggest the real would rally about 4% over the next month on a Bolsonaro win, while a Lula win risks much larger losses

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Brazil—Fiscal populism and cabinet uncertainty increase risks for Lula 4.0

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Vice-President Geraldo Alckmin will likely serve as finance minister if President Luiz Inacio Lula da Silva wins the 25 October runoff (30% odds), and will start his tenure with a modest fiscal overhaul.

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A market sell-off, worsened by populist measures, would push the administration to correct its fiscal course, but the overhaul would be limited, with a primary surplus target of roughly 1% of GDP by the end of the term.

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Economic management risks will increase as Lula’s support declines amid a difficult public opinion environment, especially if former finance minister Fernando Haddad does not become chief of staff (a growing prospect).

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Oil, Geoeconomics—Four buffers have limited price impact of biggest oil shock in history

Crude oil supply losses from the Gulf have averaged about 11.5 million barrels per day (mb/d) since March, largely offset by four buffers:

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Demand compression: demand fell by 5.8 mb/d below February in March-August, with China the biggest contributor (1.7 mb/d).

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Inventory draws: stocks fell by 509 million barrels by end-September (2.4 mb/d), with about 330 million barrels of emergency releases.

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Non-Gulf supply: 2.3 mb/d added in March-August, led by the US, Brazil, Kazakhstan, Venezuela, and and seasonal biofuels.

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Starting surplus: a pre-war surplus of about 2.1 mb/d.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

India—New Delhi hews to US and middle powers of Global North

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After a week in New Delhi, Chairman Emeritus Cliff Kupchan finds that India is focusing its foreign policy on the US. To the extent it is hedging, it is focusing on select middle powers in the Global North.
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Despite a rocky 22 months since President Donald Trump took office, elites in New Delhi see the US as the key country for ties on economic, technical, and strategic (China) issues. Defense ties still center on Russia but are shifting toward Europe and the US.
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Indian officials attach importance to the bilateral trade agreement and the persistence of their negotiations. Interlocutors said that the two sides will conclude the deal shortly after the Section 301 finding is complete and India knows its final post-IEEPA tariff level. Kupchan expects the sides will finalize the trade agreement either late this year or in early 2027.
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Read more here . Reach out to discuss: kupchan@eurasiagroup.net .

US, Israel, Iran—Netanyahu's plans won't lead to pre-midterm escalation

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Netanyahu reportedly planned on resuming the war with Iran two weeks ago, before he was talked down by Trump. Our expectation of the conflict's resumption after the elections (65% odds) is unchanged.

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Trump has been consistently against resuming the conflict before the midterms because of the political consequences of such a move. Netanyahu’s opinion won’t change that, as demonstrated by the fact that Trump was able to restrain him.

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However, structural factors do point to medium-term escalation, likely starting in November (see note , 15 October).
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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Sustainability—Adaptation and bilateral deals will define new UN environmental era

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Countries will sideline formal UN environmental negotiations at this year’s UN climate and biodiversity summits (COP31 and COP17) in favor of unilateral measures and smaller, issue-specific coalitions, as governments take a more pragmatic approach to balancing economic growth with long-term resilience.
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Countries will make climate and biodiversity finance commitments largely to advance national objectives rather than principled international obligations, to the detriment of least developed countries in need of concessional support.
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Adaptation and resilience will become the defining objectives of UN environmental processes, as climate impacts accelerate.

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Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

upcoming conference calls

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23 October 10:00 AM ET—India update. Register here .

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26 October 10:00 PM ET—Southeast Asia update. Register here .

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27 October 9:00 PM ET—MENA crisis update call. Register here .

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28 October 9:30 AM ET—Latin America update. Register here .

eg in brief

Mexico—Stronger activity will improve the growth outlook heading into 2027: The National Statistics Agency's Economic Activity Index estimates that the economy expanded 3.7% year-on-year in September, its strongest pace in nearly three years. Continued momentum should help Mexico surpass the IMF's relatively modest 1.5% growth forecast for 2026, and favorable base effects should leave full-year growth above 2% even if activity loses momentum in the fourth quarter. Still, tight fiscal accounts and weaker-than-targeted tax collection will limit the scope for a large stimulus, keeping growth dependent on continued strength in services, construction, and external demand. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Upcoming events:

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23 October: Events: Brazil presidential runoff debate; Data: Eurozone, Japan, UK, and US S&P, India HSBC Manufacturing PMI, Taiwan industrial production, and US UMich consumer sentiment; Central bank decisions: Kazakhstan and Russia.

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25 October: Events: Brazil presidential runoff.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"In these 24 hours [after the last debate], I'll send missions that, if executed, will make President Lula win."—Congressman Andre Janones (Rede-MG), sent to his Whatsapp channel with nearly 8 million

followers that’s helping drive Lula’s campaign, “Lula’s army.”

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